Chapter 3B: House Property

Illustration 01 [PYQ Nov 2013]

Mr. Krishna owns a residential house in Delhi. The house is having two identical units. First unit of the house is self-occupied by Mr. Krishna and another unit is rented for ₹ 12,000 p.m. The rented unit was vacant for three months during the year. The particulars of the house for the previous year 2025-26 are as under:

Standard Rent	₹ 2,20,000 p.a.
Municipal Valuation	₹ 2,44,000 p.a.
Fair Rent	₹ 2,35,000 p.a.
Municipal tax paid by Mr. Krishna	12% of the Municipal Valuation
Light and water charges	₹ 800 p.m.
Interest on borrowed capital	₹ 2,000 p.m.
Insurance charges	₹ 3,500 p.a.
Painting expenses	₹ 16,000 p.a.

Compute income from house property of Mr. Krishna for the assessment year 2026-27.

Solution

Computation of Income from House Property

Particulars	1st Unit ₹	2nd Unit ₹
Nature of House Property	Self Occupied	Let Out
Annual Value u/s 23(1)(a) / (b) (See Notes 1 & 2)	Nil	1,08,000
Less: Municipal Taxes paid - (₹ 2,44,000 x 12% x 50%)	Nil	(14,640)
Net Annual Value	Nil	93,360
Less: Deduction u/s 24		
30% of NAV (₹ 93,360 x 30%)	Nil	(28,008)
Interest on Borrowed Capital^ 1,000 p.m. x12 months) each for 2 units	(12,000)	(12,000)
Income from House Property	(12,000)	53,352
Taxable Income from House Property (after inter-source adjustment)	41,352	

Notes:

1. Annual Value of 2nd Unit is determined as under: Since both are identical units, both the House Properties occupy equal floor space. [For Municipal Value and Tax Apportionment.] [So, 50% of each amount is considered in computations.]
   (a) Higher of Municipal Value (₹ 1,22,000) or Fair Rent (₹ 1,17,500), i.e. ₹ 1,22,000.
   (b) Lower of ₹ 1,22,000 [as per (a) above] or Standard Rent (₹ 1,10,000) , i.e. ₹ 1,10,000.
   (c) Actual Rent Receivable for the whole year of ₹ 1,44,000 (12,000 x 12) and the Standard Rent of ₹ 1,10,000 whichever is higher is the Annual Value.

(d) However, the annual value shall be the Actual Rent received for let out period, if it is lower owing to vacancy.

Hence, Annual Value is ₹ 1,08,000 (₹ 12,000 x 9).

2. Annual Value of 1st Unit: Since the House Property is self occupied by the Assessee, the Annual Value of the property is taken as NIL.
3. Set-off of Losses: Loss from one House Property can be set off against Income from another Property, u/s 70.
4. Light and Water Charges, Insurance Charges and Painting Expenses are not allowable as deduction u/s 24.

Illustration 02 [PYQ Nov 2015]

Mr. Raphael constructed a shopping complex. He had taken a loan of ₹ 25 lakhs for construction of the said property on 01-08-2023 from SBI @ 10% for 5 years. The construction was completed on 30-06- 2024. Rental income received from shopping complex ₹ 30,000 per month4et out for the whole year. Municipal Taxes paid for shopping complex ₹ 8,000. Arrears of rent received from shopping complex ₹ 1,20,000.
Interest paid on loan taken from SBI for purchase of house for use as own residence for the period 2025-26, ₹ 3 lakhs.
You are required to compute Income from House property of Mr. Raphael for A.Y. 2026-27 as per Income Tax Act, 1961.

Solution

Computation of income from house property of Mr. Raphael for A.Y. 2026-27

	Particulars	₹	₹
1.	Shopping complex		
	Gross Annual Value [₹ 30,000 x 12] x		3,60,000
	Less: Municipal Taxes		8,000
	Net Annual Value (NAV)		3,52,000
	Less: Deductions under section 24 30% of NAV Interest on borrowed capital (See Working Note	1,05,600	
	below)	2,83,333	3,88,933
			(36,933)
	Arrears of rent received taxable under section 25A	1,20,000	
	Less: Deduction @ 30%	36,000	84,000
			47,067
2.	Self occupied residential house		
	Annual value (since the house property is self- occupied)	Nil	
	Less: Deduction under section 24		
	Interest on loan from SBI ₹ 3 lakhs, restricted to chargeable income from this house property	2,00,000	(2,00,000)

	Income chargeable under the head "Income from house property"		(1,52,933)

Working Note:

Interest on borrowed capital	₹
Interest for the current year (10% of ₹ 25 lakhs)	2,50,000
Add: $1/5^{th}$ of pre-construction interest (interest for the period from 1.8.2023 to 31.3.2024 for 8 months (₹ 1,66,667 x 1/5)	33,333
Interest deduction allowable under section 24	2,83,333

Note: It has been assumed that loan of ₹ 25 lakhs has to be repaid after the five years period. Hence, there has been no repayment upto 31.3.2026. Interest computation has been made accordingly.

Illustration 03 [PYQ May 2017]

Mr. Ganesh owns a commercial building whose construction got completed in June 2024. He took a loan of ₹ 15 lakhs from his friend on 1-8-2023 and had been paying interest calculated at 15% per annum. He is eligible for pre-construction interest as deduction as per the provisions of the Income Tax Act.
Mr. Ganesh has let out the commercial building at a monthly rent of ₹ 40,000 during the financial year 2025-26. He paid municipal tax of ₹ 18,000 each for the financial year 2024-25 and 2025-26 on 1-5-2025 and 5-4-2026 respectively.
Compute income under the head 'House Property' of Mr. Ganesh for AY 2026-27.

Solution

Income from House Property

GAV	4,80,000
Municipal Taxes	18,000
NAV	4,62,000
Std. deduction 30%	1,38,600
Deduction on borrowed Capital	2,55,000
	68,400

Working Note:

Pre-Construction Period = 01-08-2022 to 31-3-2023 = 8 month

Pre-Construction Interest = 15 lakh x 15% x $\frac{8}{12}$ = 1,50,000

Current Period Interest = 15 lakh x 15% = 2,25,000

Interest deduction on borrowed capital = $\frac{1}{5}$ x 1,50,000 + 2,25,000 = 2,55,000

Illustration 04 [PYQ Nov 2017]

Mr. Aditya, a resident but not ordinarily resident in India during the Assessment Year 2026-27. He owns two houses, one in Dubai and the other in Mumbai. The house in Dubai is let out there at a rent of DHS 20,000 p.m. (1 DHS = INR 18). The entire rent is received in India.

He paid Property tax of DHS 2,500 and Sewerage Tax DHS 1,500 there, for the Financial Year 2025-26. The house in Mumbai is self-occupied. He had taken a loan of ₹ 25,00,000 to construct the house on 1st June, 2021 @ 12%. The construction was completed on 31st May, 2024 and he occupied the house on 1st June, 2024. The entire loan is outstanding as on 31st March, 2025. Property tax paid in respect of the second house is ₹ 2,400 for the Financial Year 2024-25. Compute the income chargeable under the head "Income from House property" in the hands of Mr. Aditya for the Assessment Year 2026-27.

Solution

Computation of income from house property of Mr. Aditya for A.Y. 2026-27

Particulars	₹	₹
Income from let-out property in Dubai [See Note 1 below]		
Gross Annual Value (DHS 20,000 p.m. x 12 months x ₹18)		43,20,000
Less: Municipal taxes paid during the year [DHS		
4,000 (DHS 2,500 + DHS 1,500) x ₹18]		72,000
Net Annual Value (NAV)		42,48,000
Less: Deductions under section 24		
a) 30% of NAV	12,74,400	
b) Interest on housing loan	-	12,74,400
		29,73,600
Income from self-occupied property in Mumbai		
Annual Value [Nil, since the property is self-occupied]	Nil	NIL
[No deduction is allowable in respect of municipal taxes paid in respect of self-occupied property]		
Less: Deduction in respect of interest on housing loan [See Note 2 below]		(2,00,000)
Income from house property [₹ 29,73,600 - ₹ 2,00,000]		27,73,600

Notes:

(1) Since Mr. Aditya is a resident but not ordinarily resident in India for A.Y. 2026-27, income which is, inter alia, received in India shall be taxable in India as per section 5(1), even if such income has accrued or arisen outside India. Accordingly, rent received from house property in Dubai would be taxable in India since such income is received by him in India. Income from property in Mumbai would accrue or arise in India and consequently, interest deduction in respect of such property would be allowable while computing Mr. Aditya's income from house property.

(2) Interest on housing loan for construction of self-occupied property allowable as deduction under Section 24(b)

Interest for the current year (₹ 25,00,000 x 12%)	₹ 3,00,000
Pre-construction interest [from 01.06.2022 to 31.03.2024]	
₹ 25,00,000 x 12% x 22/12 = ₹ 5,50,000	₹ 1,10,000

₹ 5,50,000 allowed in 5 equal installments (₹ 5,50,000/5)	₹ 4,10,000
	₹ 2,00,000

As per the Second proviso to Section 24(b), in case of self- occupied property, interest deduction to be restricted to ₹ 2,00,000.

Illustration 05 [PYQ Nov 2018]

Mrs. Disha Khanna, a resident of India, owns a house property at Bhiwani in Haryana. The Municipal value of the property is ₹ 7,50,000, Fair Rent of the property is ₹ 6,30,000 and Standard Rent is ₹ 7,20,000 per annum. The property was let out for ₹ 75,000 per month for the period April 2024 to December 2025.

Thereafter, the tenant vacated the property and Mrs. Disha Khanna used the house for self-occupation. Rent for the months of November and December 2025 could not be realized from the tenant. The tenancy was bonafide but the defaulting tenant was in occupation of another property of the assessee, paying rent regularly.

She paid municipal taxes @ 12% during the year and paid interest of ₹ 35,000 during the year for amount borrowed towards repairs of the house property.

You are required to compute her income from "House Property" for the A.Y. 2026-27.

Solution

Computation of income from house property of Mrs. Disha Khanna for the A.Y.2026-27

Particulars	Amount in ₹	
Computation of Gross Annual Value		
Expected Rent for the whole year = Higher of Municipal Value of ₹ 7,50,000 and Fair Rent of ₹ 6,30,000, but restricted to Standard Rent of ₹ 7,20,000	7,20,000	
Actual rent received for the let-out period = ₹ 75,000 x 9 [Unrealised rent is not deductible from actual rent in this case since the defaulting tenant is in occupation of another property of the assessee, and hence, one of the conditions laid out in Rule 4 has not been fulfilled]	6,75,000	
GAV is the higher of Expected Rent for the whole year and Actual rent received/receivable for the let-out period	7,20,000	
Gross Annual Value (GAV)		7,20,000
Less: Municipal taxes (paid by the owner during the previous year) = 12% of ₹ 7,50,000		90,000
Net Annual Value (NAV)		6,30,000
Less: Deductions under section 24		
(1) 30% of NAV = 30% of ₹ 6,30,000	1,89,000	

(2) Interest on amount borrowed for repairs (Fully allowable as deduction, since it pertains to let-out property)	35,000	2,24,000
Income from house property		4,06,000

Illustration 06 [PYQ Dec 2021]

Mr. Ravi, a resident and ordinarily resident in India, owns a let out house property having different flats in Kanpur which has municipal value of ₹ 27,00,000 and standard rent of ₹ 29,80,000. Market rent of similar property is ₹ 30,00,000. Annual rent was ₹ 40,00,000 which includes ₹ 10,00,000 pertaining to different amenities provided in the building . One flat in the property (annual rent is ₹ 2,40,000) remains vacant for 4 months during the previous year. He has incurred following expenses in respect of aforesaid property: Municipal taxes of ₹ 4,00,000 for the financial year 2025-26 (10% rebate is obtained for payment before due date.) Arrears of municipal tax of financial year 2024-25 paid during the year of ₹ 1,40,000 which includes interest on arrears of ₹ 25,000.

Lift maintenance expenses of ₹ 2,40,000 which includes a payment of ₹ 30,000 which made in cash.

Salary of ₹ 88,000 paid of staff for collecting house rent and other charges. Compute the total income of Mr. Ravi for the assessment year 2026-27 assuming that Mr. Ravi has not opted provisions under section 115BAC.

Solution

Computation of total income of Mr. Ravi for A.Y. 2026-27
under the regular provisions of the Act

Particulars	Amount (₹)	Amount (₹)
Income from house property		
Gross Annual Value		
a) Expected rent ₹ 29,80,000 [Higher of Municipal Value of ₹ 27,00,000 p.a. and Fair Rent of ₹ 30,00,000 p.a., but restricted to Standard Rent of ₹ 29,80,000 p.a.]		
b) Actual rent ₹ 29,40,000 [₹ 30,00,000, being annual rent for house property less rent of ₹ 60,000 (₹ 2,40,000 x 4/12 x 3/4) due to vacancy]		
Gross Annual Value	29,40,000	
In this case, the actual rent is lower than the expected rent due to vacancy. Otherwise, the actual rent of ₹ 30,00,000 would have been higher than the expected rent. In such a case, the actual rent would be the gross annual value, even if it is lower than the expected rent.		

Less: Municipal taxes actually paid during the year: [₹ 4,00,000 - rebate of ₹ 40,000] = ₹ 3,60,000		
[₹ 1,40,000 arrears - ₹ 25,000 interest] = ₹ 1,15,000	4,75,000	
Net Annual Value	24,65,000	
Less: Deduction from Net Annual Value		
30% of Net Annual Value	7,39,500	17,25,500
Income from Other Sources/Profits and gains from business or profession		
Rent for amenities	10,00,000	
Less: Loss due to vacancy		
[₹ 2,40,000 x 4/12 x ¼]	20,000	
	9,80,000	
Less: Expenditure in respect thereof		
• Lift maintenance expenses [excluding cash payment of ₹ 30,000 disallowed]		
= ₹ 2,40,000 - ₹ 30,000 2,10,000		
• Salary to staff [₹ 88,000 x1/4, being the proportion pertaining to amenities] 22,000	2,32,000	7,48,000
Total Income		24,73,500

Illustration 07 [RTP May 2024]

Mr. Raj, a resident in India, owns two house property, one in Delhi and another in Kanpur. The property in Kanpur is self-occupied by Mr. Raj, however, the property in Delhi is let out throughout the year. The particulars of the Delhi house for the P.Y. 2025-26 are as under:

Standard rent	₹ 1,72,000 p.a.
Municipal valuation	₹ 2,05,000 p.a.
Fair rent	₹ 1,95,000 p. a
Rent received	15,000 p.m.
Municipal tax (Paid by Mr. Raj)	5% of municipal valuation

Municipal tax paid by Mr. Raj on 10.6.2025 for Kanpur house is ₹ 3,500. Mr. Raj had taken a loan from SBI of ₹ 35 lakhs@12 p.a. in March, 2022 for purchase of Delhi house. The stamp duty value of this house was ₹ 40 lakhs. Mr. Raj purchased a plot in Kanpur in May, 2023 and the construction of the Kanpur house was began in June, 2023 and was completed on December, 2024. Mr. Raj took a loan of ₹ 25,00,000@10% on 1-7-2023 for the construction of this house. No repayment has been done so far for both the loans.

During the P.Y. 2025-26, Mr. Raj has earned a salary income of ₹ 18,00,000. Compute the total income of Mr. Raj for the A.Y. 2026-27 under both tax regimes.

Solution

Computation of total income of Mr. Raj for A.Y. 2026-27 under default tax regime

Particulars		₹	₹
I.	Salaries		
	Gross salary	18,00,000	
	Less: Standard deduction under section 16(ia)	75,000	17,25,000
II.	Income from house property		
	Rented property at Delhi		
	Step I - Computation of Expected Rent		
	Expected Rent = Higher of Municipal Value of ₹ 2,05,000 and Fair Rent of ₹ 1,95,000, but restricted to Standard Rent of ₹ 1,72,000	1,72,000	
	Step II - Actual Rent		
	Actual rent received or receivable (₹ 15,000 x 12)	1,80,000	
	Step III – Computation of Gross Annual Value		
	GAV is the higher of Expected Rent and Actual rent received/ receivable	1,80,000	
	Gross Annual Value	1,80,000	
	Less: Municipal taxes (5% of ₹ 2,05,000)	10,250	
	Net Annual value	1,69,750	
	Less: Deductions under section 24 -		
	a) 30% of net annual value	50,925	
	b) Interest on loan (₹ 35 lakhs x 12%)	4,20,000	(3,01,175)
	Self occupied property at Kanpur		
	Annual value [No deduction for municipal taxes is allowed in respect of self-occupied property]	Nil	

Less: Deduction under section 24 -		
Interest on borrowed capital [Not allowable under section 115BAC]	Nil	Nil
Income from house property		(3,01,175)
Gross Total Income [Loss from house property is not allowed to be set off against income under any other head while computing income under section 115BAC]		17,25,000
Less: Deduction under section 80EEA [Not allowable under section 115BAC]		Nil
Total Income		17,50,000

Computation of Total income of Mr. Raj for A.Y. 2026-27 under normal provisions of the Act

Particulars	₹	₹

I.	Salaries		
	Gross salary	18,00,000	
	Less: Standard deduction under section 16(ia)	50,000	17,50,000
II.	Income from house property		
	Rented property at Delhi		
	Step I - Computation of Expected Rent		
	Expected Rent = Higher of Municipal Value of ₹ 2,05,000 and Fair Rent of ₹ 1,95,000, but restricted to Standard Rent of ₹ 1,72,000	1,72,000	
	Step II - Actual Rent		
	Actual rent received or receivable (₹ 15,000 x 12)	1,80,000	

Step III – Computation of Gross Annual Value		
GAV is the higher of Expected Rent and Actual rent received/ receivable	1,80,000	
Gross Annual Value	1,80,000	
Less: Municipal taxes (5% of ₹ 2,05,000)	10,250	
Net Annual value	1,69,750	
Less: Deductions under section 24 -		
a) 30% of net annual value	50,925	
b) Interest on loan (₹ 35 lakhs x 12%) [₹ 4,20,000 - ₹ 1,50,000, being the interest for which deduction under section 80EEA is claimed]	2,70,000	(1,51,175)
Self occupied property at Kanpur		
Annual value [No deduction for municipal taxes is allowed in respect of self-occupied property]	Nil	
Less: Deduction under section 24 -		
Interest on borrowed capital [₹ 2,50,000 (₹ 25,00,000 x 10%) *plus* pre construction interest of ₹ 37,500, being 1/5th of (₹ 25,00,000 x 10% x 9/12)] [₹ 2,87,500, restricted to ₹ 2,00,000]	2,00,000	(2,00,000)
Income from house property		(3,51,175)
Gross Total Income [As per section 71(3A), loss from house property can be set off against income under any other head to the extent of ₹ 2,00,000 only. Balance loss of ₹ 1,51,175 to be carried forward to A.Y. 2026-27]		15,50,000

Less: Deduction under section 80EEA [Since the loan is sanctioned between 1.4.2019 and 31.3.2022 and the stamp		1,50,000

duty value of the property does not exceed ₹ 45 lakhs, deduction of ₹ 1,50,000 is allowed in respect of interest on loan for Delhi house]		
Total Income		14,00,000

Illustration 08 [RTP May 2023]

Mr. Akash owns a residential house property whose Municipal Value, Fair Rent and Standard Rent are ₹ 1,60,000, ₹ 1,70,000 and ₹ 1,90,000, respectively. The house has two independent units. Unit I (25% of floor area) is utilized for the purpose of his profession and Unit II (75% of floor area) is let out for residential purposes at a monthly rent of ₹ 8,500. Municipal taxes @8% of the Municipal Value were paid during the year by Mr. Akash. He made the following payments in respect of the house property during the previous year 2025-26:

Light and Water charges	₹ 2,000
Repairs	₹ 1,45,000
Interest on loan taken for the repair of property	₹ 36,000.

Mr. Akash has taken a loan of ₹ 5,00,000 in July, 2018 for the construction of the above house property. Construction was completed on 30th June, 2021. He paid interest on loan @12% per annum and every month such interest was paid. No repayment of loan has been made so far.

Income of Mr. Akash from his profession amounted to ₹ 8,00,000 during the year (without debiting house rent and other incidental expenditure including admissible depreciation of ₹ 8,000 on the portion of house used for profession).

Determine the Gross total income of Mr. Akash for the A.Y. 2026-27 ignoring the provisions of section 115BAC.

Solution

Computation of Gross total income of Mr. Akash for the A.Y. 2026-27

	Particulars		₹	₹
I	Income from House Property			
	Unit-II (75% of floor area)			
	Gross Annual Value			
	a) Actual rent received (₹ 8,500 x 12)	₹ 1,02,000		
	b) Expected rent	₹ 1,27,500		
	[Higher of municipal value (i.e. ₹ 1,60,000) and fair rent			
	(i.e. ₹ 1,70,000) but restricted to standard rent (i.e.			
	₹ 1,90,000) ₹ 1,70,000 x 75%]			
	Higher of (a) or (b) is GAV		1,27,500	
	Less: Municipal taxes (₹ 1,60,000 x 8% x 75%)		9,600	
	NAV		1,17,900	
	Less: Deductions u/s 24			

	a) 30% of NAV	₹ 35,370		
	b) Interest on loan (See note)	₹ 96,750	1,32,120	(14,220)
II	PGBP Income		8,00,000	
	Less: Light & Water Charges (25% of ₹ 2,000)	₹500		

Municipal taxes (25% of ₹ 12,800)	₹ 3,200		
Repairs (25% of ₹ 1,45,000)	₹ 36,250		
Interest on loan taken for repair (25% of ₹ 36,000)	₹ 9,000		
Interest on loan taken for construction of	₹ 15,000		
house property (25% of ₹ 60,000)			
Depreciation	₹ 8,000	71,950	7,28,050
Gross Total Income			7,13,830

Note:

Computation of Interest on loan

Particulars	₹
Interest for the year (₹ 5,00,000 x 12%)	60,000
Pre-construction period Interest-	
12% of ₹ 5,00,000 for 33 months = ₹ 1,65,000	
To be allowed in 5 equal instalments from the year of completion (₹ 1,65,000 x 1/5)	33,000
Interest on loan taken for repair (no restriction for let out property)	36,000
Total Interest deduction u/s 24(b)	1,29,000
Total Interest deduction u/s 24(b) for let out property (75% x ₹ 1,29,000)	96,750

Illustration 09 [RTP Nov 2022]

Mr. Roy owns a house in Kolkata. During the previous year 2025-26, 3/4th portion of the house was self-occupied and 1/4th portion was let out for residential purposes at a rent of ₹ 12,000 p.m. The tenant vacated the property on 28th February, 2026. The property was vacant during March, 2026. Rent for the months of January 2026 and February 2026 could not be realised in spite of the owner's efforts. All the conditions prescribed under Rule 4 are satisfied.

Municipal value of the property is ₹ 4,50,000 p.a., fair rent is ₹ 4,70,000 p.a. and standard rent is ₹ 5,00,000. He paid municipal taxes @10% of municipal value during the year. A loan of ₹ 30,00,000 was taken by him during the year 2016 for acquiring the property. Interest on loan paid during the previous year 2025-26 was ₹ 1,51,000. Compute Roy's income from house property for the A.Y. 2026-27.

Solution

There are two units of the house. Unit I with 3/4th area is used by Mr. Roy for self-occupation throughout the year and no benefit is derived from that unit, hence, it will be

treated as self-occupied and its annual value will be nil. Unit 2 with 1/4th area is let-out during the previous year and its annual value has to be determined as per section 23(1).

Computation of Income from house property of Mr. Roy for the A.Y. 2026-27

Particulars	₹	
Unit I (3/4th area – self-occupied)		
Annual Value		Nil
Less: Deduction under section 24(b) 3/4th of ₹ 1,51,000		1,13,250
Income from Unit I (self-occupied)		(1,13,250)
Unit II (1/4th area – let out)		
Computation of GAV		
Step 1 – Computation of Expected Rent (ER)		
ER = Higher of municipal value (MV) and fair rent (FR), but restricted to standard rent (SR).	1,17,500	
However, in this case, standard rent of ₹ 1,25,000 (1/4th of ₹ 5,00,000) is more than the higher of MV of ₹ 1,12,500 (1/4th of ₹ 4,50,000) and FR of ₹ 1,17,500 (1/4th of ₹ 4,70,000). Hence the higher of MV and FR is the ER. In this case, it is the fair rent.		
Step 2 – Computation of actual rent received/ receivable ₹ 12,000 x 9 = 1,08,000 [The property was let-out for 11 months. However, rent for 2 months i.e., January and February, 2026 could not be realized. Actual rent should not include any amount of rent which is not capable of being realized. Therefore, actual rent has been computed for 9 months]	1,08,000	
Step 3 – Computation of GAV		
The actual rent of ₹ 1,08,000 is lower than expected rent of ₹ 1,17,500 owing to vacancy, since had the property not been vacant in March 2025, the actual rent would have been ₹ 1,20,000 (i.e. ₹ 1,08,000 + ₹ 12,000), which is higher than the ER of ₹ 1,17,500. Therefore, actual rent is the GAV.	1,08,000	
Gross Annual Value (GAV)		
Less: Municipal taxes paid by the owner during the previous year relating to let-out portion		1,08,000
1/4th of (10% of ₹ 4,50,000) =₹ 45,000/4 = ₹ 11,250		11,250
Net Annual Value (NAV)		96,750
Less: Deductions under section 24		
a) 30% of NAV = 30% of ₹ 96,750	29,025	

b) Interest paid on borrowed capital (relating to l e t out portion) [1/4th of ₹ 1,51,000]	37,750	66,775
Income from Unit II (let-out)		29,975
Loss under the head "Income from house property" (-1,13,250 + 29,975)		-83,275

Note – Alternatively, as per income-tax returns, unrealized rent can be deducted from GAV. In such a case, GAV would be ₹ 1,32,000, being higher of expected rent of ₹ 1,17,500 and actual rent of ₹ 1,32,000. Thereafter, unrealized rent of ₹ 24,000 and municipal taxes of ₹ 11,250 would be deducted from GAV of ₹ 1,32,000 to arrive at the NAV of ₹ 96,750.

Illustration 10 [RTP May 2021 & MTP Nov 2023]

Mr. Roxx, a citizen of the Country Y, is a resident but not ordinarily resident in India during the financial year 2025-26. He owns two house properties in Country Y, one is used as his residence. Another house property is rented for a monthly rent of $ 18,000. Fair rent of the house property is $ 20,000. The value of one CYD ($) may be taken as ₹ 78.

He took ownership and possession of a flat in Delhi on 1.10.2025, which is used for self-occupation, while he is in India. The flat was used by him for 3 months at the time when he visited India during the previous year 2025-26. The municipal valuation is ₹ 4,58,000 p.a. and the fair rent is ₹ 3,60,000 p.a. He paid property tax of ₹ 13,800 and ₹ 2,800 as Sewerage tax to Municipal Corporation of Delhi.

He had taken a loan of ₹ 18,00,000 @9.5% from HDFC Bank on 1st August, 2023 for purchasing this flat. No amount is repaid by him till 31.03.2026.

He also had a house property in Bangalore which is let out on a monthly rent of ₹ 40,000. The fair rent of which is ₹ 4,58,000 p.a. and Municipal value of ₹ 3,58,000 p.a. and Standard Rent of ₹ 4,20,000 p.a. He had taken a loan of ₹ 25,00,000 @ 10% from one of his friends, residing in Country Y for this house. Municipal tax of ₹ 5,400 is paid by him in respect of this house during the previous year 2025-26.

Compute the income chargeable from house property of Mr. Roxx for the assessment year 2026-27.

Solution

Since Mr. Roxx, is a resident but not ordinarily resident in India, only the income in respect of properties situated in India would be taxable in his hands.

Thus, the rental income which accrues or arises in Country Y from the let-out property and annual value of self-occupied property would not be taxable in his hands. However, income arising from properties in India are taxable in the hands of Mr. Roxx.

Accordingly, the income from house property of Mr. Roxx for A.Y.2026-27 will be calculated as under:

Particulars		₹	₹
1.	Self-occupied house at Delhi		
	Annual value		Nil
	Less: Deduction under section 24	Nil	

	Interest on borrowed capital (See Note below)		2,00,000
	Chargeable income from this house property		(2,00,000)
2.	Let out house property at Bangalore		
	Expected rent, being higher of ₹ 3,58,000 municipal value and fair rent of ₹ 4,58,000 but restricted to Standard rent of ₹ 4,20,000	4,20,000	
	Actual rent [40,000 x 12]	4,80,000	
	Gross Annual Value, being higher of expected rent and actual rent		4,80,000
	Less: Municipal taxes		5,400
	Net Annual Value		4,74,600
	Less: Deduction under section 24 a) 30% of net annual value [30% x 4,74,600]	1,42,380	
	b) Interest on borrowed capital (actual allowable as deduction without any ceiling limit)	2,50,000	3,92,380
			82,220
Loss under the head "Income from house property" (₹ 2,00,000 - ₹ 82,220)			(1,17,780)

Note: Interest on borrowed capital

Particulars		₹
Interest for the current year [18,00,000 x 9.5%]		1,71,000
Add: 1/5th of pre-construction interest (₹ 2,85,00 x 1/5)		57,000
1.8.2023 to 31.03.2024 – (₹ 18,00,000 x 9.5% x 8/12) 1.4.2024 to 31.03.2025 – (₹ 18,00,000 x 9.5%)	1,14,000 1,71,000	2,28,000
Interest deduction allowable under section 24, restricted to		2,00,000

Illustration 11 [RTP Nov 2020]

Ms. Pihu has three houses, all of which are self-occupied. The particulars of these houses are given below:

	(Value in ₹)		
Particulars	**House – I**	**House – II**	**House-III**
Municipal Valuation per annum	1,30,000	1,20,000	1,20,000
Fair Rent per annum	1,10,000	1,85,000	1,45,000
Standard rent per annum	1,00,000	1,90,000	1,30,000
Date of completion	30-01-2011	31-07-2024	31.5.2017
Municipal taxes payable during the year (paid for House II & III only)	12%	9%	10%

Interest on money borrowed for repair of property during current year	-	75,000	-

You are required to compute Pihu's income from house property for the Assessment Year 2026-27 and suggest which houses should be opted by Pihu to be assessed as self- occupied so that her tax liability is minimum.

Solution

In this case, Pihu has more than two house properties for self-occupation. As per section 23(4), Pihu can avail the benefit of self-occupation (i.e., benefit of "Nil" Annual Value) only in respect of any two of the house properties, at her option. The other house property would be treated as "deemed let-out" property, in respect of which the Expected rent would be the gross annual value. Pihu should, therefore, consider the most beneficial option while deciding which house properties should be treated by her as self-occupied.

OPTION 1 [House I & II – Self-occupied and House III- Deemed to be let out]

If House I and II are opted to be self-occupied, Pihu's income from house property for A.Y.2026-27 would be –

Particulars	Amount in ₹
House I (Self-occupied) [Annual value is Nil]	Nil
House II (Self-occupied) [Annual value is Nil, but interest deduction would be available, subject to a maximum of ₹ 30,000. In case of money borrowed for repair of self-occupied property, the interest deduction would be restricted to ₹30,000, irrespective of the date of borrowal].	(30,000)
House III (Deemed to be let-out) [See Working Note below]	82,600
Income from house property	52,600

OPTION 2 [House I & III – Self-occupied and House II- Deemed to be let out]

If House I and III are opted to be self-occupied, Pihu's income from house property for A.Y.2026-27 would be –

Particulars	Amount in ₹
House I (Self-occupied) [Annual value is Nil]	Nil
House II (Deemed to be let-out) [See Working Note below]	46,940
House III (Self-occupied) [Annual value is Nil]	Nil
Income from house property	46,940

OPTION 3 [House I – Deemed to be let out and House II & III – Self-occupied]

If House II and III are opted to be self-occupied, Pihu's income from house property for A.Y.2026-27 would be –

Particulars	Amount in ₹
House I (Deemed to be let-out) [See Working Note below]	70,000

House II (Self-occupied) [Annual value is Nil, but interest deduction would be available, subject to a maximum of ₹ 30,000. In case of money borrowed for repair of self-occupied property, the interest deduction would be restricted to ₹30,000, irrespective of the date of borrowal].	(30,000)
House III (Self-occupied) [Annual value is Nil]	Nil
Income from house property	40,000

Since Option 3 is more beneficial, Pihu should opt to treat House – II & III as Self- occupied and House I as Deemed to be let out, in which case, her income from house property would be ₹ 40,000 for the A.Y. 2026-27.

Working Note:

Computation of income from House I, II and House III assuming that all are deemed to be let out

Particulars		Amount in Rupees		
		House I	House II	House III
Gross Annual Value (GAV) Expected rent is the GAV of house property Expected rent= Higher of Municipal Value and Fair Rent but restricted to Standard Rent		1,00,000	1,85,000	1,30,000
Less:	Municipal taxes (paid by the owner during the previous year)	Nil	10,800	12,000
Net Annual Value (NAV)		1,00,000	1,74,200	1,18,000
Less:	Deductions under section 24			
	a) 30% of NAV	30,000	52,260	35,400
	b) Interest on borrowed capital (allowed in full in case of deemed let out property)	-	75,000	-
Income from deemed to be let-out house property		70,000	46,940	82,600

Illustration 12 [RTP May 2020]

Mrs. Daya, a resident of India, owns a house property at Panipat in Haryana. The Municipal value of the property is ₹ 8,50,000, Fair Rent of the property is ₹ 7,30,000 and Standard Rent is ₹ 8,20,000 per annum.

The property was let out for ₹ 85,000 per month for the period April 2025 to December 2025.

Thereafter, the tenant vacated the property and Mrs. Daya used the house for self-occupation. Rent for the months of November and December 2025 could not be realized

from the tenant. Mrs. Daya has not instituted any legal proceedings for recovery of the unpaid rent.
She paid municipal taxes @ 12% during the year and paid interest of ₹ 50,000 during the year for amount borrowed towards repairs of the house property.
You are required to compute her income from house property for the A.Y. 2026-27.

Solution

Computation of income from house property of Mrs. Daya for the A.Y.2026-27

Particulars	Amount in ₹	
Computation of Gross Annual Value		
Expected Rent for the whole year = Higher of Municipal Value of ₹ 8,50,000 and Fair Rent of ₹ 7,30,000, but restricted to Standard Rent of ₹ 8,20,000	8,20,000	
Actual rent receivable for the let-out period = ₹ 85,000 x 9	7,65,000	
[Unrealised rent is not deductible from actual rent in this case since Mrs. Daya has not instituted any legal proceedings for recovery of unpaid rent. Hence, one of the conditions laid out in Rule 4 has not been fulfilled]		
GAV is the higher of Expected Rent for the whole year and Actual rent received/receivable for the let-out period	8,20,000	
Gross Annual Value (GAV)		8,20,000
Less: Municipal taxes (paid by the owner during the previous year) = 12% of ₹ 8,50,000		1,02,000
Net Annual Value (NAV)		7,18,000
Less: Deductions under section 24		
a) 30% of NAV = 30% of ₹ 7,18,000	2,15,400	
b) Interest on amount borrowed for repairs (Fully allowable as deduction, since it pertains to let-out property)	50,000	2,65,400
Income from house property		4,52,600

Illustration 13 [MTP May 2024]

Mr. Kushal is a resident but not ordinarily resident in India during the Assessment Year 2026-27. He furnishes the following information regarding his income/expenditure pertaining to his house properties for the previous year 2025-26:

- **He owns two houses, one in New York and the other in Ahmedabad.**
- **The house in New York is let out there at a rent of $ 5,000 p.m. The entire rent is received in India. He paid Property tax of $ 1,250 and Sewerage Tax $ 750 there. ($ 1 = INR 81)**

- The house in Ahmedabad is self-occupied. He had taken a loan of ₹ 30,00,000 to construct the house on 1st September, 2020 @10%. The construction was completed on 31st May, 2022 and he occupied the house on 1st June, 2022.

The entire loan is outstanding as on 31st March, 2026. Property tax paid in respect of the second house is ₹ 2,800.

Compute the income chargeable under the head "Income from House property" in the hands of Mr. Kushal for the Assessment Year 2026 -27 if he has opted out of the default tax regime under section 115BAC.

Solution

Computation of income from house property of Mr. Kushal for A.Y. 2026-27

Particulars	₹	₹
1. Income from let-out property in New York [See Note 1 below]		
Gross Annual Value ($ 5,000 p.m. x 12 months x ₹ 81)		48,60,000
Less: Municipal taxes paid during the year [$ 2,000 ($ 1,250 + $ 750) x ₹ 81]2		1,62,000
Net Annual Value (NAV)		46,98,000
Less: Deductions under section 24		
a) 30% of NAV	14,09,400	
b) Interest on housing loan	-	14,09,400
		32,88,600
2. Income from self-occupied property		
in Ahmedabad		
Annual Value [Nil, since the property is self-		NIL
occupied]		
[No deduction is allowable in respect of		
municipal taxes paid in respect of self-		
occupied property]		
Less: Deduction in respect of interest on housing loan [See Note 2 below]		2,00,000
		(2,00,000)
Income from house property [₹ 32,88,600 – ₹ 2,00,000]		30,88,600

Notes:

(1) Since Mr. Kushal is a resident but not ordinarily resident in India for A.Y. 2026-27, income which is, inter alia, received in India shall be taxable in India, even if such income has accrued or arisen outside India by virtue of the provisions of section 5(1). Accordingly, rent received from house property in New York would be taxable in India since such income is received by him in India

(2)	Interest on housing loan for construction of self-occupied property allowable as deduction under section 24	
	Interest for the current year (₹ 30,00,000 x 10%)	₹ 3,00,000

Pre-construction interest	
For the period 01.09.2019 to 31.03.2021 (₹ 30,00,000 x 10% x 19/12) = ₹ 4,75,000 which is allowed in 5 equal installments (₹ 4,75,000/5)	₹ 95,000
	₹ 3,95,000
In case of self-occupied property, interest deduction to be restricted to	₹ 2,00,000

Illustration 14 [MTP May 2021]

Mr. Naveen and Mr. Vikas constructed their houses on a piece of land purchased by them at Delhi. The built up area of each house was 1,800 sq. ft. ground floor and an equal area in the first floor. Naveen started construction on 1-04-2023 and completed on 1-04-2025. Vikas started the construction on 1-04-2023 and completed the construction on 30-09-2025. Naveen occupied the entire house on 01-04-2025. Vikas occupied the ground floor on 01-10-2025 and let out the first floor for a rent of Rs.20,000 per month. However, the tenant vacated the house on 31-12-2025 and Vikas occupied the entire house during the period 01-01-2026 to 31-03-2026.

Following are the other information

(i)	Fair rental value of each unit (ground floor /first floor)	Rs. 1,00,000 per annum
(ii)	Municipal value of each unit (ground floor / first floor)	Rs. 72,000 per annum
(iii)	Municipal taxes paid by	Naveen – Rs. 8,000
		Vikas – Rs. 8,000
(iv)	Repair and maintenance charges paid by	Naveen – Rs. 28,000
		Vikas – Rs. 30,000

Naveen has availed a housing loan of Rs. 15 lakhs @ 12% p.a. on 01-04-2023. Vikas has availed a housing loan of Rs. 10 lakhs @ 10% p.a. on 01-07-2023. No repayment was made by either of them till 31-03-2026. Compute income from house property for Naveen and Vikas for the previous year 2025-26.

Solution

Computation of income from house property of Mr. Naveen for A.Y. 2026-27

Particulars	Rs.	Rs.
Annual value is nil (since house is self occupied)		Nil
Less: Deduction under section 24(b)		
Interest paid on borrowed capital Rs.15,00,000 @ 12%	1,80,000	
Pre-construction interest Rs.3,60,000/5	72,000	

As per second proviso to section 24(b), interest deduction restricted to	2,52,000	2,00,000
Loss under the head "Income from house property" of Mr. Naveen		(2,00,000)

Computation of income from house property of Mr. Vikas for A.Y. 2026-27

Particulars	Ground floor Self-occupied)	First floor
Gross annual value (See Note below)	Nil	60,000
Less: Municipal taxes (for first floor)		4,000
Net annual value(A)	Nil	56,000
Less: Deduction under section 24		
a) 30% of net annual value		16,800
b) interest on borrowed capital		
Current year interest		
Rs.10,00,000 x 10% = Rs.1,00,000	50,000	50,000
Pre-construction interest		
Rs.10,00,000 x 10% x 21/12 = Rs.1,75,000 Rs.1,75,000 allowed in 5 equal installments Rs.1,75,000/5 = Rs.35,000 per annum	17,500	17,500
Total deduction under section 24	67,500	84,300
Income from house property (A)-(B)	(67,500)	(28,300)
Loss under the head "Income from house property" of Mr. Vikas (both ground floor and first floor)	(95,800)	

Note: Computation of Gross Annual Value (GAV) of first floor of Vikas's house

If a single unit of property (in this case the first floor of Vikas's house) is let out for some months and self-occupied for the other months, then the Expected Rent of the property shall be taken into account for determining the annual value. The Expected Rent shall be compared with the actual rent and whichever is higher shall be adopted as the annual value. In this case, the actual rent shall be the rent for the period for which the property was let out during the previous year. The Expected Rent is the higher of fair rent and municipal value. This should be considered for 6 months since the construction of property was completed only on 30.9.2025.

Expected rent	= Rs.50,000 being higher of - Fair rent = 1,00,000 x 6 /12 = Rs.50,000 Municipal value = 72,000 x 6/12 = Rs.36,000
Actual rent =	Rs.60,000 (Rs.20,000 p.m. for 3 months from October to December, 2025)

Gross Annual Value = Rs.60,000 (being higher of Expected Rent of Rs.50,000 and actual rent of Rs.60,000)

CA Jasmeet Singh

Illustration 15 [MTP May 2022]

You are required to compute the income from "House Property" for the A.Y. 2026-27 of Mrs. Rajni from her house property at Panchkula in Haryana. The Municipal value of the property is ₹ 7,50,000, Fair Rent of the property is ₹ 6,30,000 and Standard Rent is ₹ 7,20,000 per annum.

The property was let out for ₹ 80,000 per month for the period April 2025 to November 2025. Thereafter, the tenant vacated the property and Mrs. Rajni used the house for self - occupation. Rent for the months of October and November 2025 could not be realized from the tenant. The tenancy was bonafide but the defaulting tenant was in occupation of another property of the assessee, paying rent regularly.

She paid municipal taxes @ 12% during the year and paid interest of ₹ 50,000 during the year for amount borrowed towards repairs of the house property.

Solution

Computation of income from house property of Mrs. Rajni for the A.Y.2026-27

Particulars	Amount in ₹	
Computation of Gross Annual Value		
Expected Rent for the whole year = Higher of Municipal Value of ₹ 7,50,000 and Fair Rent of ₹ 6,30,000, but restricted to Standard Rent of ₹ 7,20,000	7,20,000	
Actual rent received for the let-out period = ₹ 80,000 x 8	6,40,000	
[Unrealised rent is not deductible from actual rent in this case since the defaulting tenant is in occupation of another property of the assessee, and hence, one of the conditions laid out in Rule 4 has not been fulfilled]		
GAV is the higher of Expected Rent for the whole year and Actual rent received/receivable for the let-out period	7,20,000	
Gross Annual Value (GAV)		7,20,000
Less: Municipal taxes (paid by the owner during the previous year) = 12% of ₹ 7,50,000		90,000
Net Annual Value (NAV)		6,30,000
Less: Deductions under section 24		
a) 30% of NAV = 30% of ₹ 6,30,000	1,89,000	
b) Interest on amount borrowed for repairs (Fully allowable as deduction, since it pertains to let- out property)	50,000	2,39,000
Income from house property		3,91,000

Illustration 16 [PYQ July 2021]

Mr. Ramesh constructed a big house (construction completed in Previous Year 2008 -09) with 3 independent units. Unit - 1 (50% of floor area) is let out for residential purpose at monthly rent of ₹ 15,000. A sum of ₹ 3,000 could not be collected from the tenant and a notice to vacate the unit was given to the tenant. No other property of Mr. Ramesh is occupied by the tenant. Unit - 1 remains vacant for 2 months when it is not put to any use. Unit - 2 (25% of the floor area) is used by Mr. Ramesh for the purpose of his business, while Unit - 3 (the remaining 25%) is utilized for the purpose of his residence. Other particulars of the house are as follows:
Municipal valuation - ₹ 1,88,000
Fair rent - ₹ 2,48,000
Standard rent under the Rent Control Act - ₹ 2,28,000
Municipal taxes - ₹ 20,000
Repairs - ₹ 5,000
Interest on capital borrowed for the construction of the property - ₹ 60,000,
ground rent ₹ 6,000 and
fire insurance premium paid - ₹ 60,000.
Income of Ramesh from the business is ₹ 1,40,000
without debiting house rent and other incidental expenditure)
Determine the taxable income of Mr. Ramesh for the assessment year 2026-27 if he does not opt to be taxed under section 115BAC

Solution

Computation of Taxable Income of Mr. Ramesh for A.Y. 2026-27
Under the regular provisions of the Act

Particulars	Amount	Amount
Income from house property		
Unit - 1 [50% of floor area - Let out]		
Gross Annual Value, higher of a) Expected rent ₹ 1,14,000 [Higher of Municipal Value of ₹ 94,000 p.a. and Fair Rent of ₹ 1,24,000 p.a., but restricted to Standard Rent of ₹ 1,14,000 p.a.] b) Actual rent ₹ 1,47,000 [₹ 15,000 x 10] less unrealized rent of ₹ 3,000 Gross Annual Value	1,47,000	
Less: Municipal taxes [50% of ₹20,000]	10,000	
Net annual value	1,37,000	
Less: Deductions from Net Annual Value		
a) 30% of Net Annual Value	41,100	
b) Interest on loan [50% of ₹ 60,000]	30,000	65,900

Unit – 3 [25% of floor area – Self occupied]		
Net Annual Value	-	
Less: Interest on loan [25% of ₹ 60,000]	15,000	(15,000)
Income from house property		50,900

Profits and gains from business or profession			
Business Income [without deducting expenditure on Unit - 2 25% floor area used for business purposes]		1,40,000	
Less: Expenditure in respect of Unit -2			
- Municipal taxes [25% of ₹ 20,000]	5,000		
- Repairs [25% of ₹ 5,000]	1,250		
- Interest on loan [25% of ₹ 60,000]	15,000		
- Ground rent [25% of ₹ 6,000]	1,500		
- Fire Insurance premium [25% of ₹ 60,000]	15,000	37,750	1,02,250
Taxable Income			1,53,150

Illustration 17

Two brothers Arun and Bimal are co-owners of a house property with equal share. The property was constructed during the financial year 2017-2018. The property consists of eight identical units and is situated at Cochin.

During the financial year 2025-26, each co-owner occupied one unit for residence and the balance of six units were let out at a rent of ₹ 12,000 per month per unit. The municipal value of the house property is ₹ 9,00,000 and the municipal taxes are 20% of municipal value, which were paid during the year. The other expenses were as follows:

(i)	Repairs	40,000
(ii)	Insurance premium (paid)	15,000
(iii)	Interest payable on loan taken for construction of house	3,00,000

One of the let out units remained vacant for four months during the year.

Arun could not occupy his unit for six months as he was transferred to Chennai. He does not own any other house.

The other income of Mr. Arun and Mr. Bimal are ₹ 2,90,000 and ₹ 1,80,000 respectively, for the financial year 2025-26.

Compute the income under the head 'Income from House Property' and the total income of two brothers for the A.Y. 2026-27 if they pay tax under the default tax regime under section 115BAC.

Also, show the computation of income under this head, if they both exercised the option of shifting out of the default tax regime provided under section 115BAC(1A).

Solution

(i) If Arun and Bimal pay tax under the default tax regime under section 115BAC

Computation of total income for the A.Y. 2026-27

Particulars	Arun (₹)	Bimal(₹)
Income from house property		
I. Self-occupied portion (25%)		
Annual value	Nil	Nil
Less: Deduction under section 24(b)	Nil	Nil
Loss from self occupied property	Nil	Nil
II. Let-out portion (75%) – See Working Note below	1,25,850	1,25,850
Income from house property	1,25,850	1,25,850
Other Income	2,90,000	1,80,000
Total Income	4,15,850	3,05,850

Working Note

Computation of Income from Let-Out Portion of House Property

Particulars	₹	₹
Let-out portion (75%)		
Gross Annual Value		
(a) Municipal value (75% of ₹ 9 lakh)	6,75,000	
(b) Actual rent [(₹ 12000 x 6 x 12) – (₹ 12,000 x 1 x4)] = ₹ 8,64,000 - ₹ 48,000	8,16,000	
- whichever is higher		8,16,000
Less: Municipal taxes 75% of ₹ 1,80,000 (20% of ₹ 9 lakh)		1,35,000
Net Annual Value (NAV)		6,81,000
Less: Deduction under section 24		
(a) 30% of NAV	2,04,300	4,29,300
(b) Interest on loan taken for the house [75% of ₹ 3 lakh]	2,25,000	
Income from let-out portion of house property		2,51,700
Share of each co-owner (50%)		1,25,850

(ii) If Arun and Bimal have exercised the option of shifting out of the default tax regime provided under section 115BAC(1A)

Computation of total income for the A.Y. 2026-27

Particulars	Arun (₹)	Bimal(₹)
Income from house property		
I. Self-occupied portion (25%)		
Annual value	Nil	Nil
Less: Deduction under section 24(b)		
Interest on loan taken for construction ₹ 37,500 (being 25% of ₹ 1.5 lakh) [Allowable since they have exercised the option of shifting out of the default tax regime provided under section 115BAC(1A)]	37,500	37,500
Loss from self occupied property	(37,500)	(37,500)
II. Let-out portion (75%) – See Working Note above	1,25,850	1,25,850
Income from house property	88,350	88,350
Other Income	2,90,000	1,80,000
Total Income	3,78,350	2,68,350

Illustration 18

Mr. Roxx, a citizen of the Country Y, is a resident but not ordinarily resident in India during the financial year 2025-26. He owns two house properties in Country Y, one is used as his residence. Another house property is rented for a monthly rent of $ 18,000. Fair rent of the house property is $ 20,000. The value of one CYD ($) may be taken as ₹ 78.

He took ownership and possession of a flat in Delhi on 1.10.2025, which is used for self-occupation, while he is in India. The flat was used by him for 2 months at the time when he visited India during the previous year 2025 -26. The municipal valuation is ₹ 4,58,000 p.a. and the fair rent is ₹ 3,60,000 p.a. He paid property tax of ₹ 13,800 and ₹ 2,800 as Sewerage tax to Municipal Corporation of Delhi.

He had taken a loan of ₹ 18,00,000 @9.5% from HDFC Bank on 1st August, 2023 for purchasing this flat. No amount is repaid by him till 31.03.2026.

He also had a house property in Bangalore which is let out on a monthly rent of ₹ 40,000. The fair rent of which is ₹ 4,58,000 p.a. and Municipal value of ₹ 3,58,000 p.a. and Standard Rent of ₹ 4,20,000 p.a. He had taken a loan of ₹ 25,00,000 @ 10% from one of his friends, residing in Country Y for this house. Municipal tax of ₹ 5,400 is paid by him in respect of this house during the previous year 2025-26.

Compute the income chargeable from house property of Mr. Roxx for the A.Y.2026-27 if he has shifted out of the default tax regime.

Solution

Since Mr. Roxx, is a resident but not ordinarily resident in India, only the income in respect of properties situated in India would be taxable in his hands.

Thus, the rental income which accrues or arises in Country Y from the let- out property and annual value of self-occupied property would not be taxable in his hands. However, income arising from properties in India are taxable in the hands of Mr. Roxx.

Accordingly, the income from house property of Mr. Roxx for A.Y.2026-27 will be calculated as under:

	Particulars	₹	₹
1.	**Self-occupied house at Delhi**		
	Annual value		Nil
	Less: Deduction under section 24	Nil	
	Interest on borrowed capital (See Note below)		2,00,000
	Chargeable income from this house property		(2,00,000)
2.	**Let out house property at Bangalore**		
	Expected rent, being higher of ₹ 3,58,000 municipal value and fair rent of ₹ 4,58,000 but restricted to Standard rent of ₹ 4,20,000	4,20,000	
	Actual rent [₹ 40,000 x 12]	4,80,000	
	Gross Annual Value, being higher of expected rent and actual rent		4,80,000
	Less: Municipal taxes		5,400
	Net Annual Value		4,74,600
	Less: Deduction under section 24 - 30% of net annual value [30% x ₹ 4,74,600]	1,42,380	
	- Interest on borrowed capital (actual allowable as deduction without any ceiling limit)	2,50,000	3,92,380
			82,220
	Loss under the head "Income from house property" (₹ 2,00,000 - ₹ 82,220)		(1,17,780)

Note: Interest on borrowed capital

Particulars		₹
Interest for the current year [18,00,000 x 9.5%]		1,71,000

Add: 1/5th of pre-construction interest (₹ 2,85,000 x 1/5)		57,000
1.8.2023 to 31.03.2024 – (₹ 18,00,000 x 9.5% x 8/12) 1.4.2024 to 31.03.2025 – (₹ 18,00,000 x 9.5%)	1,14,000 1,71,000	2,28,000
Interest deduction allowable under section 24, restricted to		2,00,000